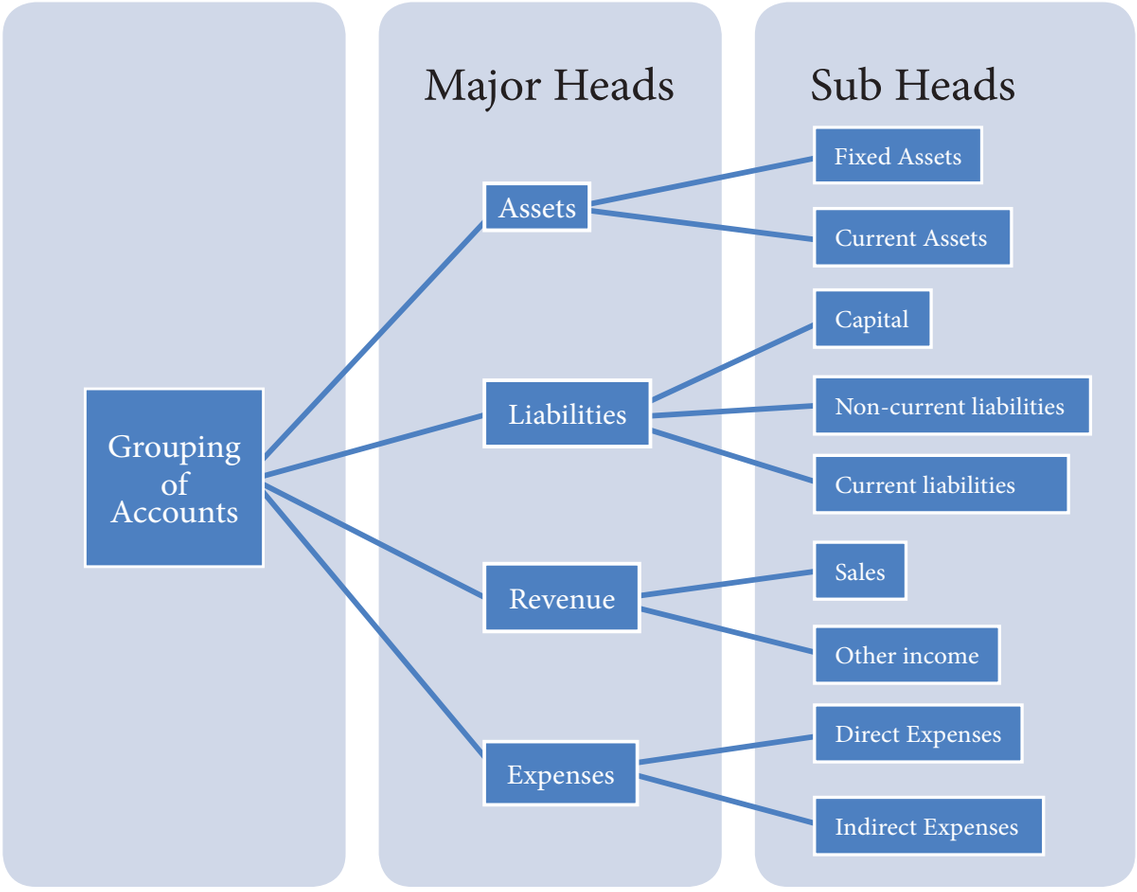
(vi) Adaptability	High	Relatively high	Specific
(vii) Training Requirements	Low	Medium	High

14.7 Grouping and codification of accounts

When the volume and size of the business increase, the number of transaction increases. Therefore, it becomes necessary to have proper classification of data.



14.7.1 Grouping of accounts

In any organisation, the main unit of classification is the major head which is further divided into minor heads. Each minor head may have number of sub-heads. After classification of accounts into various groups namely, major, minor and sub-heads and allotting codes to each account these are programmed into the computer system.

A proper codification requires a systematic grouping of accounts. The major groups or heads could be Assets, Liabilities, Revenues and Expenses. The sub-groups or minor heads could be capital, non-current liabilities, current assets, sales and so on.

In general, the basic classifications of different accounts embodied in a transaction are resorted through accounting equation.

Assets = Liabilities + Capital + (Revenues – Expenses)

Each component of the above equation can be divided into groups of accounts as follows:

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